



**HAWASSA UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT
MODLE EXAM FOR FINANCIAL MANAGEMENT**

Part I: Choose correct answer for each of the following question and use capital letter only in the answer sheet.(1 point for each)

1. Area of finance that focuses on the behavior of financial markets and the pricing of securities implies---
- A. Finance
 - B. Investment**
 - C. Budget
 - D. Stocks and bonds

Answers: B

2. The art and science of managing money is called -----
- A. Finance
 - B. Investment
 - C. Management
 - D. Accounting

Answers: A

3. Major areas of finance included all except -----
- A. Public Finance
 - B. International Finance
 - C. Investment
 - D. Government police**

Answers: D

4. Acquire the fixed assets that are useful to the business organization over a period of time implies--
- A. Long-term finance**
 - B. Short-term finance
 - C. Capital marketing
 - D. Monetary marketing

Answers: A

5. Of the following is/are not be External source of capital

- A. Share Capital
- B. Common stock
- C. Preference stock
- D. Retained earning

Answers: D

6. The funds that are retained out of the profits for meeting future contingencies indicates ---
- A. Provisions
 - B. Common stock
 - C. Preference stock
 - D. Retained earning

Answers: D

7. Concerned with the efficient use of an important economic resource namely, capital funds implies---
- A. Financial management
 - B. Finance
 - C. Accounting
 - D. Cost accounting

Answers: A

8. Approach of financial management that focus only raising of money referred to as----
- A. Traditional Approach
 - B. Modern Approach:
 - C. Investment decision
 - D. Money market

Answers: A

9. The investment decisions include all except -----
- A. Determining the asset mix or composition
 - B. Determining the asset type
 - C. Managing the asset structure

D. How to use office

Answers: D

10. Decisions whether the firm should use equity or debt funds in order to finance its assets implies-
- A. The dividend decisions
 - B. The financing decisions
 - C. Financing return decisions
 - D. Profit maximization

Answers: B

11. Is a function of maximizing revenue and /or minimizing costs referred to as ---

A. Profit maximization

- B. Limitations of Profit Maximization
- C. Cash flows
- D. Timing of Benefits

Answers: A

12. Among the following given alternatives all are Limitations of Profit Maximization except ---

- A. Cash flows
- B. Timing of Benefits
- C. Quality of Benefits (Risk of Benefits)
- D. Ambiguity free finance

Answers: D

13. Maximization of the value of a firm or net present value (NPV) maximization implies

- A. Cash flows
- B. Profit maximization
- C. Wealth maximization
- D. Timing of Benefits

Answers: C

14. Of the following is not true about wealth maximization

- A. It has an exact measurement unlike profit maximization.
- B. It consider the quality as well as the time pattern of benefits.
- C. It emphasizes on the long-term and sustainable maximization of a firm's common stock price in the financial market.
- D. The discounted value is a value which takes risk and timing of benefits is not take into account.

Answers: D

15. Of the following is not be Limitations of wealth maximization

- A. If wealth maximization is taken as the sole decision rule, there is a possibility that the benefits of the society at large might be forgone.
- B. When managers of a corporation are separate from owners, there is a potential for a conflict of interest between them.
- C. When the goal of a firm is stated in terms of stockholders wealth, actions that increase the wealth of stockholders could be taken as the expense of other stakeholders like debt holders.
- D. Wealth maximization is normally will not be reflected in the firm's stock price.

Answers: D

16. Markets in which financial instruments are bought and sold by suppliers and demanders of funds referred to as----

- A. Financial markets
- B. Monetary market

- C. Bond market
- D. Equity market

Answers: A

17. Functions of Financial Markets include all except ---

- A. It assists the capital formation process
- B. Financial markets serve as resale markets for financial instruments
- C. It plays a role in setting the prices of securities

D. Money Markets

Answers: D

18. Financial markets in which securities traded have maturities of one-year or less (short-term) implies ---

- A. Money market**
- B. Bond market
- C. Equity market
- D. Financial market

Answers: A

19. Are short-term securities issued by the government; they have original maturities of either four weeks, three months, or six months implies-----

- A. Treasury bills (T-bills)**
- B. Commercial paper
- C. Certificates of deposit (CDs)
- D. Promissory note

Answers: A

20. Financial markets in which firms raise capital by issuing new securities

- A. long-term funds are traded
- B. Primary Markets**
- C. Secondary Markets
- D. Monetary market

21. Financial markets in which existing and already outstanding securities are traded among investors indicates-----

- A. Exchanges
- B. Primary Markets
- C. Secondary Markets**
- D. Over-the-counter

Answers: C

22. Financial statements present financial position

- A. Balance sheet**

- B. Income statement
- C. Cash flows
- D. Retain earning

Answers: A

23. Is a process of evaluating the relationships among component parts of Financial statements referred to as ----

- A. Concept of financial Analysis
- B. Income statement
- C. Cash flows
- D. Retain earning

Answers: A

24. of the following is not be the need for financial analysis

- A. It helps users obtain a better understanding of the firm's financial conditions & performance.
- B. It helps users to understand the numbers presented in the financial statements and serve as a basis for financial decisions.
- C. It can also use to assess a firm viability as an ongoing enterprise
- D. It provided noting for the analyst with a means for making meaning full comparison of a firm's financial data over to standardize financial information.

Answers: D

25. Source of financial data include all except

- A. Balance Sheet show
- B. Income statement
- C. Cash flows
- D. Dividend

Answers: D

26. Profit and loss account, which reflects the operational position of the firm during a particular period shows----

- A. Balance Sheet show
- B. Income statement
- C. Cash flows
- D. Retains earning

Answers: B

27. Lists how much of the net profit/income of the company was paid out as dividends to the shareholders and how much of it was retained in the company for reinvestments Indicates ----

- A. Balance Sheet show
- B. Income statement
- C. Cash flows

D. Retains earning

Answers: D

28. Of the following is not true Income statement

A. It reflects the operational position of the firm during a particular period.

B. Its purpose is to ascertain the Net Profit or Loss of the business.

C. It consists of ten accounting year.

D. It determines the entire operational performance of the concern like total revenue and expenses.

Answers: C

29. Investing and finance activities on cash flows over an accounting period implies ---

A. Statement of cash in and out flows

B. Statement of cash flow

C. Statement of balance sheet

D. Statement of retain earning

Answers: B

30. Expression of as percentages of total assets and total sales indicates---

A. Common size statements

B. Ratio Analysis

C. Internal Analysis

D. index Analysis

Answers: A

31. An analysis performed by outsiders to the firm indicates -----

A. External Analysis

B. Internal Analysis

C. operational performances

D. unit of the business concern

Answers: A

32. The ability of a firm to meet its immediate obligations and reflect the short-term financial strength or solvency of a firm shows

A. Liquidity Ratio

B. The current ratio

C. The quick ratio

D. Present ratio

Answers: A

33. Ratio related current assets to current liabilities shows ---

A. Current Ratio

- B. Liquidity Ratio
- C. The quick ratio
- D. Acid test ratio

Answers: A

34. The ratio of Net Sales to accounts receivable implies ---

- A. accounts receivable turnover
- B. Days Sales Outstanding
- C. Inventory Turnover
- D. Fixed assets turnover

Answers: A

35. Ratios that helps to measure the earning power of a firm with respect to given level of sales, total assets, and owner's equity includes all except ----

- A. Profit Margin
- B. Return on Investment (Assets)
- C. Return on Equity
- D. Debt to total assets (Debt) Ratio

Answers: D

36. The extent to which a firm is financed with debt, or the firm's ability to generate sufficient income to meet its debt obligations shows----

- A. Debt Management Ratios (Leverage Ratios)
- B. Debt to total assets (Debt) Ratio
- C. Return on Investment (Assets)
- D. Return on Equity

Answers: A

37. If there is highest Debt to total assets (Debt) Ratio, which of the following not true ?

- A. It implies that a firm has liberally used debt sources to finance its assets.
- B. It implies the firm has funded its assets mainly with equity sources.
- C. It shows the less the firm's financial risk liberal
- D. It shows the more the firm's financial risk liberal

Answers: C

38. Value of a sum of money received today is more than its value received after some time this is known as---

- A. Time value of money
- B. Present value of money
- C. Future value of money
- D. Net present value

Answers: A

39. Sum of money deposited one time and earns interest for a specified period indicates ---

A. Compound value

B. Simple value

C. Complex value

D. Compound value of Annuity:

Answers: A

40. The formula of $FV_n = A \left[\frac{(1+i)^n - 1}{i} \right]$ Shows -----

A. Sinking Fund

B. Simple value

C. Complex value

D. Compound value of Annuity

Answers: D

41. Formulas of $A = P \left[\frac{i(1+i)^n}{(1+i)^n - 1} \right]$ implies -----

A. Capital Recovery

B. Present value of Annuity

C. Multi period Compounding

D. Annual compounding

Answers: A

42. The intrinsic value of an asset is determined based on following out in put except ----

A. Cash flows (returns),

B. Time pattern of the returns, and

C. The discount rate

D. financial assets

Answers: D

43. of the following is not be financial assets

- A. Bonds
- B. Preferred
- C. Common stocks
- D. Capital market

Answers: D

44. Is a long-term debt instrument or security issued by businesses and governmental units to raise large sums of money?

- A. Bonds
- B. Preferred
- C. Common stocks
- D. Capital market

Answers: A

45. Of the following is not true about Bond

- A. The periodic interest payment by the bond holders party.
- B. The price paid to the investor upon maturity.
- C. The interest payment is based on the par value of the bond and the coupon interest rate.
- D. Par value is also called maturity value.

Answers: A

46. Is the rate of return investors earn if they buy a bond at a specific price B_0 and hold it until maturity?

- A. Yield to Maturity
- B. the appropriate interest rate on the bond
- C. The number of periods before the bond matures
- D. the par value of the bond

Answers: A

47. Is the rate of return earned by an investor if he buys a bond at a specified price the bond is called—

- A. After before its maturity date
- B. Before its maturity date
- C. between its maturity date
- D. mediator its maturity date

Answers: B

48. Type of equity security that provides its owners with limited or fixed claims on a corporation's income and assets shows -----

- A. Preferred stock
- B. Common stock valuation

- C. Bond
- D. Equity

Answers: A

49. Is a common stock whose future dividends are not expected to grow at all reoffered to as-----

- A. Zero growth common stock,
- B. Constant growth common stock, and
- C. Variable growth common stock.
- D. Highest growth rate bond

Answers: A

50. The return a firm intends to pay to its members who contribute the capital to the firm shows ----

- A. **cost of capital**
- B. Business risk
- C. Financial risk
- D. cost of preference

Answers: A

51. If a preferred stock pays an annual dividend of Br. 9 and the current market price is Br. 81. What will be the required rate of return from the preferred stock?

- A. 12.11%
- B. 11.11%**
- C. 13.11%
- D. 13.45%

Answers: B

52. Suppose, the most recent common stock dividend of Shalom Manufacturing Corporation was Br. 3.60 per share. Due to the firm's maturity as well as stable sales and earnings, the dividends are expected to remain at the current level of the foreseeable future and if required return is 12%. So, what will be the value of a zero growth stock ?

- A. Br 30**
- B. Br 40
- C. Br 50
- D. Br 60

Answers: A

53. Addis Company's most recent annual dividend, which was paid yesterday, was Br. 1.75 per share. The dividends are expected to experience a 15% annual growth rate for the next 3 years. By the end of 3 years growth rate will slow to 5% per year to infinity. Stockholders require a return of 12% on Addis' stock so, what will be value of the stock today?

A. Br. 33.92

B. Br. 43.92

C. Br. 53.92

D. Br. 63.92

Answers: A

54. Of the following is not Determinants of Cost of Capital?

A. Return at zero level risk

B. Premium of the business risk

C. Premium in financial risk

D. the rate of return

Answers: D

55. of the following is not be Specific cost of capital?

A. The cost of equity

B. Cost of preference

C. Cost of debt

D. Operation cost

Answers: D

56. minimum rate of return that a company must earn on the portion of equity capital employed implies

A. The cost of equity

B. Cost of preference

C. Cost of debt

D. Retain earning

Answers: A

57. Cost of equity can be calculated as following except---

A. Dividend price (DP) approach.

B. Dividend price plus growth (DP + g) approach.

C. Earning price (EP) approach.

D. Realized profit

Answers: D

58.
$$= \frac{D_1}{(1+Ke)^1} + \frac{D_2}{(1+Ke)^2} + \dots + \frac{D_{\infty}}{(1+Ke)^{\infty}}$$
 this formula indicates,

A. Dividend price (DP) approach.

B. Dividend price plus growth (DP + g) approach.

C. Earning price (EP) approach.

D. Realized yield approach

Answers: A

59. Preference shares being issued with a condition to repay after certain period, indicates----

- A. permanent preference shares
- B. zero preference
- C. Redeemable preference shares
- D. Cost of preference

Answers: C

60. Of the following is not true about cost of debt capital?

- A. Is the return paid to the debt holders of the firm who are entitled for a return called interest on the loan advanced to the firm.
- B. It is required to know at this point that the debt capital brings charge to the firm and payable before payment of the taxes.
- C. Debt holders will save tax payment of the firm.
- D. There is only irredeemable debt, rather than Redeemable debt.

Answers: D

61. Simple arithmetic mean of the specific costs of the capital

- A. The simple average and
- B. The weighted average method
- C. Earning price (EP) approach.
- D. Realized yield approach

Answers: A

62. Of the following is not true about a the capital structure ?

- A. Capital structure with common stocks only.
- B. Capital structure with both common stocks and Preferred stocks only
- C. Capital structure with common stocks and Long-term Bonds.
- D. Capital structure with common stocks, Preferred stocks, and Long-term Bonds.

Answers: B

63. Expenditures for land, building, equipment, and for permanent additions to working capital associated with plant expansion, for advertising & promotion campaigns, & for research & development programs implies---

- A. Capital budgeting expenditures
- B. Capital budgeting
- C. Capital Investments
- D. Investment

Answers: A

64. Of the following is not true about Feature of capital Investments?

- A. It requires large cash outlays.
- B. It requires attention of top managements and special skills
- C. It is a difficult decisions and require careful assessment of demand, supply, customer's and attitudes a

D. It has short-term effects.

Answers: D

65. Of the following is not true about Importance of Capital Budgeting?

A. It has long-term effects.

B. Capital decisions are required to assessment of future events which are certain.

C. Capital budgeting ensures the selection of right source of finance at the right time.

D. It enables the firm to raise funds early before the sales approach the maximum capacity level.

Answers: B

66. The cost reduction objective may be achieved through the replacement of old plants or fixed assets with new ones indicates -----

A. Cost Reduction Projects (Replacement projects)

B. Revenue Expansion Projects

C. Non-Revenue Producing (Mandatory) Investments

D. Independent Proposals

Answers: A

67. The acceptance of one proposal results in the automatic rejection of the other proposal indicates -

A. Independent Proposals

B. Dependent Proposals or Contingent Proposals

C. Mutually Exclusive Proposals

D. Pay back rule

Answers: C

68. Among the following which of the following Is not true about "Pay-out period" or Pay-off period?

A. is one of the most popular and widely recognized traditional method of evaluating investment proposals.

B. Accept the project if project's PB < standard PB

C. Reject the project if project's PB > standard PB

D. Accept the project if project's PB <=standard PB

Answers: D

69. Whe certain project has initial investment of Br. 40,000 and generate cash inflows of Br. 16,000, Br. 14,000, Br. 8,000 and Br. 6,000 in the first, second, third, and fourth year respectively.so, PBP-----

A. 4.33 years

B. 3.33 years

C. 5.33 years

D. 6.33 years

Answers: B

70. Of the following is not be true advantage of payback period?

- A. It is simple to understand and easy to calculate
- B. It used as a method of ranking competitive projects
- C. It clearly indicates time value of money.
- D. It does not measure the profitability of a project

Answers: C

71. Of the following is shows advantage of Accounting Rate of Return or Average Rate of Return (ARR) method /ROI

- A. Easy to understand and calculate
- B. Ignores the time value of money
- C. Does not use cash flows
- D. No objective way to determine the minimum acceptable rate of return.

Answers: A

72. The decision rule under the Accounting Rate of Return ARR method ndicates include all except

- A. Accept the project if projects ARR (calculated ARR) > Minimum rate of return
- B. Reject the project if project's ARR < Minimum rate of return
- C. Reject the project if project's ARR then make it moderet Minimum rate of return
- D. Reject the project if project's ARR = Minimum rate of return

Answers: C

73. Is used to describe the ability of fixed cost (i.e., both fixed operating costs and fixed financing costs) to magnify returns to owners.

- A. Leverage finance mitigation
- B. Operating leverage
- C. Financing leverage
- D. Operation cost

Answers: C

74. What is the future value of Br. 25,000 growing at 8 percent compounded annually for three years?

- A. Br. 25,000
- B. Br. 31, 500
- C. Br. 23,200
- D. Br. 32,00

Answers: B

75. What is the present value of Br.500 to be received 10 years from today if our discount rate is 6 percent?

- A. Br. 250
- B. Br. 279
- C. Br. 223

D. Br. 300

Answers: B

76. If we place \$100 in a savings account that yields 12 percent compounded quarterly, what, will our investment grow to at the end of five years?

A. Br. 150.50

B. Br. 170.60

C. Br.145.50

D. Br. 180.60

Answers: D

77. _____ is the discount rate at which the rate at which the net present value of an investment project is zero.

A. Pay Back Period (PP)

B. Net Present Value (NPV)

C. Internal Rate of Return (IRR)

D. Profitability Index (PI)

Answers: C

78. The process of identifying & selecting investments in long-lived assets, or assets expected to produce benefits over more than one year is called _____

A. Financial management

B. Capital budgeting

C. Budget administration deduction

D. Capital investment

Answers: B

79. Individuals prefer to receive a sum of money today than later on due to all except

A. Uncertainty of the future in terms of the amount of cash to be generated

B. Personal consumption is not considered

C. The possibility of investing money received now and generate addition income.

An answers is B

80. The intrinsic value of an asset is determined based on all except ---

B. cash flows (returns),

C. time pattern of the returns,

D. the discount rate.

E. Capital expense

Answers: D

81. _____ is the rate which the issuer pays to the investor on the par value of the bond.

A. Bond

B. coupon interest rate

- C. par value
- D. none of the above

Answers: B

82. Ediget Behibret corporation has a Br. 2,000 par value bond. Interest is paid semiannually & the bond has 5 years remaining to its maturity date. What is the value of the bond if the required return on the bond is 10%?

- a. 2000
- b. 2500
- c. 3000
- d. 4500

Answers: A

83. Assume a project requires an initial investment of Br. 100,000. It will generate an annual cash flow of Br. 25,000 per year. What is the payback period?

- a. 2 years
- b. 3 years
- c. 4 years
- d. 5 years

Answers: C

84. The process of determining the worth of an asset whose value is obtained from future cash flows is known as_____.

- a. Share vale
- b. Valuation
- c. Forecasting
- d. financing

Answers: B

85. A bond with a face value of Br.100 is currently selling for Br. 95 in the market. The coupon rate of interest is 13.5% and the appropriate discount rate is 15%. What will be he value of the bond?

- a. 100
- b. 90
- c. 80
- d. 70

Answers: B

86. The rate of return earned by an investor if he buys a bond at a specified price, B_0 , and the bond is called before its maturity date is called;

- A. Yield to maturity
- B. Yield to call
- C. Required rate of return
- D. Coupon interest rate

Answers: B

87. A capital budgeting techniques used to compute the difference b/n the present value of investments cash inflows (market value) and the present value of its cash outflows (its cost).

- a. Pay back period
- b. Internal Rate of Return
- c. **Net Present Value**
- d. Profitability Index

Answers: C

88. _____ is a common stock whose future dividends are not expected to grow at all.

- a. Constant growth stock
- b. **Zero growth stock**
- c. Variable growth stock
- d. Profitability Index

Answers: B

89. ABC Company has a Br. 1,000 par value, 10% coupon interest rate, and 15 years to maturity. The bond is currently selling at Br. 1,090. Compute the YTM.

- a. 10%
- b. 11%
- c. **9%**
- d. 7%

Answers: C

90. Finance function involves

- A. Procurement of finance only
- B. Expenditure of funds only
- C. **Procurement and efficient utilization of finance**
- D. Proper portfolio construction

Answers: B

91. Given alternative investment choices, an investment that should be selected under wealth maximization goal of a firm is the one that:

- A. Provides the most fluctuating cash flows for a given level of cost.
- B. Has the lowest required rate of return for a given level of expected cash flows.
- C. **Provides the highest earnings per share.**
- D. Has the lowest costs

Answers: C

92. The following costs are associated with agency problem except,

- A. Fees paid to external auditors
- B. Fidelity guarantee insurance premium
- C. **Salary expenses paid to internal auditors**

D. Cash bonus to employees and managers

Answers: C

93. Which of the following is the primary function of financial management?

A. Maximization of employees benefit

B. Maximization of customers satisfaction

C. Profit maximization of a firm

D. Maximization of stockholder's wealth

Answers: D

94. Which of the following is considered a profitability measure?

A. Days sales in inventory

B. Fixed asset turnover

C. Price-earnings ratio

D. Return on Assets

Answers: D

95. Palo Alto Industries has a debt-to-equity ratio of 1.6 compared with the industry average of 1.4.

This means that the company:

A. will not experience any difficulty with its creditors

B. has less liquidity than other firms in the industry

C. will be viewed as having high creditworthiness

D. has greater than average financial risk when compared to other firms in its industry

Answers: D

96. To help determine whether a business should extend credit to various other businesses, an analyst will look at credit ratios. The ratio that measures the speed with which the firm can pay its obligations with cash, cash equivalents, and short-term investments is known as the:

A. Days payables outstanding ratio

B. Debt to capital ratio

C. Current ratio

D. Quick ratio

Answers: D

97. Which of the following actions are likely to reduce agency conflicts between stockholders and managers?

A. Paying managers a large fixed salary.

B. Increasing the threat of corporate takeover.

C. Placing restrictive covenants in debt agreements.

D. Statements b and c are correct

Answers: B

98. Which of the following statement is true about traditional and modern approach scope financialmanagement?

- A. Traditional approach views financial management in a broad sense.
- B. Contemporary financial management was viewed as a field of study limited to only raising of money.
- C. The emphasis of Financial Management has been shifted from raising of funds to the effective and judicious utilization of funds in Modern approach**
- D. Midterm approach

Answers: C

99. Which of the following deal with the financing of the firm's investments, i.e., decisions whether the firm should use equity or debt funds in order to finance its assets?

- A. Investment decisions
- B. Financing decisions**
- C. Dividend decisions
- D. Financial

Answers: B

100. Which of the following is false statement?

- A. Activity ratios are also known as assets management or turnover ratios.
- B. Turnover ratios measure the degree to which assets are efficiently employed in the firm.
- C. Overall liquidity ratios generally do give an adequate picture of company's real liquidity**
- D. High turnover ratios usually associated with good assets management and lower turnover ratios with poor assets management.

Answers: C

101. The management of capital sources and their uses so as to attain the desired goal of the firm is:

- A. Finance
- B. Management accounting
- C. Financial management**
- D. Financial services

Answers: C

102. Quality of benefit is one of the limitations of profit maximization as a goal of financial management. So, quality of benefit concerns with:

- A. The degree of certainty associated with which benefits can be expected**
- B. The differences in the time pattern of the benefit received from investment proposals
- C. The ambiguity in the time or form of benefits received from an investment
- D. The course of action when the profitability is worked out

Answers: A

103. Firm's liquidity refers to:

- A. Ability to pay long term debt as they come due
- B. Ability to meet short term obligation when and as they fall due**
- C. The degree to which assets are efficiently employed in the firm

D. How rapidly accounts receivable is converted into cash during a year

Answers: B

104. Asset utilization ratios measure all of the following except

A. productivity of fixed assets in terms of sales

B. The relationship of the income statement to cash of the asset groups on the balance sheet.

C. How many times per year the inventory is sold and accounts receivable collected.

D. The firm's ability to pay off short-term obligations as they come due.

Answers: D

105. Is the collection of financial activities in which financial services are produced and delivered is called --

A. Financial institution

B. Financial institutions

C. Financial system

D. Financial depositor

Answers: C

106. Of the following is not depository institutions

A. Commercial banks

B. Credit unions.

C. Micro finances

D. Insurance companies

Answers: D

107. The sources of funds for banks include all except ----

A. Deposits,

B. Common stock

C. Retained earnings.

D. With draw of money

Answers: D

108. If you have Savings deposits in the bank, which of the following is not true?

A. You will have high deposit interest for your saving

B. You will have a specific maturity date for your deposit

C. You will have low deposit interest and right to withdraw on your demand

D. You can't withdraw your money

Answers: D

109. Among the legal reserve of bank's, the difference between the total legal reserves actually held by a bank and the amount of its required reserves referred to as-----

A. Required reserves

B. Real reserve

C. Perceived reserve

D. Excess reserves

Answers: D

110. Of the following is not true about mutual fund?
- A. persons who owning shares in the fund have a right to sell them back
 - B. mutual shares are not traded in secondary markets
 - C. It has the feature of diversification of investment risk.
 - D. It unifies investment fund

Answers: D

111. Of the following is /are **not** true about investment bank ?
- A. It involves the raising of debt and equity securities for corporations only
 - B. It corporates a finance activities
 - C. It facilitate investment fund
 - D. It provides advising service to mergers

Answers: A

112. Which of the following is not function of financial institution ?
- A. Providing saving service
 - B. It assists to create Wealth
 - C. Provides a credit service
 - D. Is not loan provider

Answers: D

113. Dr Galata has purchased new house from Mr Abebe By two million Birr. In an Ethiopian context, Birr is currency which is money so, which of the following is not true about function of money ?
- A. It serves as a standard of value
 - B. It is a medium of exchange
 - C. Money is the only perfectly liquid asset
 - D. Has nothing

Answers: D

114. Is a fund which raised through the contribution of employees who are supposed to be the beneficiaries up on retirement implies ----
- A. Mutual fund
 - B. Liability Insurance
 - C. Pension fund
 - D. Insurance company

Answers: C

115. Is the discount rate at which the rate at which the net present value of an investment project ratio implies--
- A. Pay Bach Period (PP)
 - B. Net Present Value (NPV)
 - C. Internal Rate of Return (IRR)
 - D. Profitability Index (PI) is zero

Answers: D

116. What is the future value of Br. 25,000 growing at 8 percent compounded annually for three years?

- A. Br. 25,000
- B. Br. 31, 500
- C. Br. 23,200
- D. Br. 32,00

Answers: B

117. Terme as "Pay-out period" implies

- A. Pay back period
- B. Internal Rate of Return
- C. Net Present Value
- D. Profitability Index

Answers: A

118. Individuals prefer to receive a sum of money today than later on due to except -----

- a. Uncertainty of the future in terms of the amount of cash to be generated
- b. Personal consumption
- c. The possibility of investing money received now and generate addition income.
- d. The values of money is constant through a years

Answers: D

119. The intrinsic value of an asset is determined based on all but---

- a. cash flows (returns),
- b. time pattern of the returns,
- c. the discount rate.
- d. Cash flow mitigation

Answers: D

120. The rate which the issuer pays to the investor on the par value of the bond indicates ----

- A. Bond
- B. coupon interest rate
- C. par value
- D. yield

Answers: B

121. Suppose You deposit a sum of Br. 5,000 at the end of each year for four years at 6%. How much would this annuity accumulate at the end of the fourth year?

- A. Br 21,875
- B. Br 31,785
- C. Br 21,785
- D. 4,177

Answers: C

122. Calculated the present value of future earnings implies

A. Present values

B. Future value

C. Present cash

D. Tomorrows`excpence

Answers: A

123. Which of the following is true about Feature of capital Investments?

A. It requires large cash out flows..

B. It influences long-term profitability of the firm.

C. A wrong decision could result in few loss losses.

D. It requires attention of lower managements

Answers: A

124. Which of the following is not true about Importance of Capital Budgeting?

A. Enables the firm to raise funds

B. Improve the timing of asset acquisitions

C. Assessment of future events which are certain.

D. Is estimation of capital budget

Answers: C

125. If accepting or rejecting of project proposal is based on minimum return on investment required, this indicates ----

A. Independent Proposals

B. Dependent Proposals

C. Mutually Exclusive Proposals

D. Expectation fund

Answers: A

126. Of the following is not true about strength of payback period

A. It is simple to understand and easy to calculate

B. It facilitates to determine the liquidity and solvency of a firm

C. It used as a method of ranking competitive projects

D. It ignores the time value of money.

An answers is D

127. Which of the following is not true about Average Rate of Return

- A. It give more weight age to future receipt
- B. Ignores the time value of money
- C. It seriously use cash flows
- D. It shows average value

Answers: C

128. Which of the following is true

- A. Operating leverage is determined by sales revenue and its Net income
- B. Financing leverage affected by net income and the earning available for per ordinary share
- C. Operative leverage occurs at any time when firm has fixed operating costs.
- D. Have no r/ship b/n revenue

Answers: C

129. If we place Br100 in a savings account that yields 12 percent compounded quarterly, what, will our investment grow to at the end of five years?

- A. 150.50
- B. Br. 170.60
- C. Br.145.50
- D. Br. 180.60

Answers: D

130. Certain project has cash out flow of Br. 32,400. It is expected to generate cash inflows of Br. 16,000, Br.14,000 and Br. 12,000 through it three year life period. If it has rate of 18%, the NPV of this project will be -----

- A. 2488
- B. 3514
- C. 1498
- D. 2.2

Answers: D

131. If change in sales is to magnify a change in returns, activities of measuring this types of change implies -----

- A. Operating variable costs
- B. fixed financing costs
- C. Leverage
- D. Finance

Answers: C

132. If projects are mutually exclusive, which of the following is true?

- A. The projects with positive net present values are accepted
- B. The projects, with the higher positive NPV is accepted
- C. The projects, with the higher but zero NPV is accepted
- D. The projects, with the none zero NPV is accepted

Answers: B

133. Suppose certain project requires initial investment of Br. 40,000 and generate cash inflows of Br. 16,000, Br. 14,000, Br. 8,000 and Br. 6,000 in the first, second, third, and fourth year respectively. So, Pay-back Period of this project implies -----

- A. 3.5 years
- B. 2.4 years
- C. 4.4 years
- D. 3.6years

Answers: D

134. Of the following is true ?

- A. some per cent decrease in sales volume results in a more per cent decrease in EBIT
- B. Some per cent increase in sales volume results ,in more per cent decrease in EBIT
- C. When a firm has fixed operating costs, an increase in sales volume results in more than a proportionate decrease in EBIT.
- D. per cent increase in sales volume results ,in more per cent decrease in EBIT

Answers: A

135. Among the following given group, all use Financial analysis except:

- A. Managers,
- B. Credit analysts
- C. Investors.
- D. employee

Answers: D

136. Measures the ability of a firm to satisfy or cover the claims of short-term creditors by using only current assets

- A. Current ratio
- B. Quick ratio (Acid – test ratio)
- C. Accounts Receivable turnover
- D. Activity Ratios

Answers: A

137. Among the **tools and techniques of financial analysis** the analysis expresses individual financial statement accounts as a percentage of a base amount. is refer ----

- A. Common size Analysis
- B. Ratio Analysis

C. *Index Analysis*

D. Constant ratio

Answers: A

138. Among the following given alternatives all are *External Analysis* except

A. Creditors,

B. Investors,

C. Suppliers

D. Customer

Answers: D

139. Among stages in financial analysis , the determination of the meaningfulness of the analysis and to develop conclusions, inferences, and recommendations about the firm's performance and financial condition is implies ----

A. Evaluation and Interpretation.

B. Preparation

C. Computation.

D. Compare and contrast

Answers: A

140. Ability of a firm to meet its immediate obligations and reflect the short – term financial strength or solvency of a firm is implies ---

A. Liquidity Ratios

B. Currency of ratio

C. Bankruptcy of company

D. Turnover ratio

Answers: A

141. According to activity ratios , high turnover ratios are associated with good asset management and low turnover ratios Implies ---

A. poor asset management.

B. prefect asset management.

C. Medium asset management.

D. LIFO method

Answers: A

167. Suppose xyz company has total current asset br. 57,600 and total current liability Br 38,100 . Therefore, xyz company, current ratio equal to:-

A. 1.51

B. 2.51

C. 3.33

D. 4.44

Answers: A

168. Among following given alternatives all are true about inventory turnover ratio **except**

- A. A high inventory turnover is better than a low turnover.
- B. High inventory turnover might result from very low level of inventory.
- C. A very low turnover, indicates presence of inferior quality, & damaged
- D. A low inventory turnover is better than a high turnover.**

Answers: D

169. According to fixed assets turnover ratio, substantially lower than other similar firms indicates all except --

- A. underutilization of fixed assets,
- B. Idle capacity & excessive investment in fixed assets,
- C. Low sales levels.
- D. Better utilization of fixed assets,**

Answers: D

170. Fixed payment obligations include all except

- A. loan interest and principal,
- B. lease payments, a
- C. Preferred stock dividends.
- D. Variable cost payments.**

Answers: D

171. An evaluation of a firm's financial ratios over time.

- A. Cross – sectional analysis
- B. Time – series analysis
- C. Common size analysis
- D. Vertically analysis**

Answers: D

172. The profits earned on each share of a firm's common stock outstanding indicates :-

- A. Return on investment
- B. Dividends Per Share
- C. Return on equity
- D. Earnings per share**

Answers: D

173. A company's high return on investment resulted from all except --

- A. Increasing sales relative to costs,
- B. Reducing costs relative to sales,
- C. Efficiently utilizing assets.
- D. Low utilization of asset**

Answers: D

174. The percentage of each birr of net sales remaining after deducting all expenses implies :-

- A. Return on investment
- B. Dividends Per Share
- C. Return on equity

D. Profit margin

Answers: D

175. Suppose TYZ company has total Net sale Br 196, 200 and total net asset Br 153, 900. and .
Therefore, TYZ company's total asset turn over equal to:-

- A. 1.51
- B. 2.51
- C. 3.33

D. 1.27

Answers: D

176. Of the following is not true about financial planning

- A. Assess the business environment ,
- B. Confirm the business vision and objectives,
- C. Quantify the amount of resource (labor, equipment, materials)

D. It has nothing with the ways of using financial asset

Answers: D

177. Among the types of financial planning , the plan that lay out a company's planned financial actions and the anticipated impact of those actions over periods ranging from 2 to 10 years indicates

- A. Tactically financial planning
- B. Short-term (operating) financial plans:
- C. Medium range financial planning

D. Long-term (strategic) financial plans

Answers: D

178. Among the tools of financial forecasting most of the financial variables are projected in relation to the estimated level of sales implies ----

A. Sales forecast:.

- B. Performance income statement:
- C. Performance or projected balance sheet
- D. Income forecasting

Answers: A

179. Objectives of any firm is

- A. to maximize profit and wealth
- B. Increase asset utilization and mitigate profit
- C. To enhance the operating cost
- D. Wealth mitigation

Answers: A

180. Capital budgeting is the process

- A. Used in sell or process further decisions.
- B. Of determining how much capital stock to issue.
- C. Of making capital expenditure decisions.
- D. Of eliminating unprofitable product lines

Answers: B

181. Of the following is **not** be Source of financial data ?

- A. Income statement
- B. Statement of Retain Earning
- C. Statement of cash flow

D. Social science software

Answers: D

182. -- expresses individual financial statement accounts as a percentage of a base amount

- A. Ratio Analysis
- B. Common size Analysis
- C. Index Analysis
- D. External Analysis

Answers: B

183. The ability of a firm to meet its immediate obligations and reflect the short – term financial strength or solvency of a firm is called ----

- A. Quick ratio
- B. Acid – test ratio
- C. Liquidity ratio
- D. Inventory turnover ratio

Answers: C

184. Accounts receivable turnover ratio implies-----

- A. Rapidly accounts receivable are converted into cash during a year.
- B. Measures how many times per year the inventory level is sold
- C. firm's credit customers on the average are paying their bills in almost 39 days.

D. measures how efficiently a firm uses its fixed assets

Answers: A

185. High Total assets turnover ratio = or $\frac{\text{Net Sales}}{\text{Total assets}}$ implies ----

A. Efficient asset management

B. Inefficient asset management

C. Not generating a sufficient debt management or utilization ratios.

D. The level of sales in relation to its investment in assets.

Answers: A

186. A high debt ratio implies indicates ----

A. Firm has funded its assets mainly with equity sources.

B. Firm has funded its assets mainly with preferred share sources.

C. Firm has funded its assets mainly with bond sources.

D. Firm has liberally used debt sources to finance its assets.

Answers: D

187. The percentage of each birr of net sales remaining after deducting all expenses indicates -----

A. Profit Margin

B. Return on investment (assets)

C. Fixed charges coverage

D. Times – interest earned

Answers: A

188. High Return on equity ratio = $\frac{\text{Return on investment}}{1 - \text{Debt ratio}}$ indicates ----

A. Firm is more risky due to higher debt balance.

B. Indicate greater owners capital contribution as compared to debt contribution.

C. Earnings per share (EPS)

D. Dividends Per Share (DPS)

Answers: A

189. Which of the following is not Limitations of ratio analysis

A. Sometimes a comparison of ratios between different firms is easy

B. The financial statements of firms are not always reliable, particularly, when they are not audited.

C. Different accounting principles and methods employed by different companies can distort comparisons.

D. Inflation badly distorts comparison of ratios of a firm over time

Answers: A

190. Of the following is not true about financial planning

- A. firm's growth, performance, investments, and requirements of funds during a period of time usually three to five years.
- B. Long-term (strategic) financial plans. Are planned long-term financial actions and the anticipated financial impact of those actions.
- C. Short-term (operating) financial plans Are planned short-term financial actions and the anticipated financial impact of those actions
- D. **Cash planning is usually done by means of pro-forma financial statements.**

Answers: D

191. the relationship that can be observed b/n the firm's sales and certain key external economic indicators such as the gross domestic product (GDP), new housing starts, and disposable personal income implies ---

- A. **External sales Forecasts**
- B. Internal sales Forecasts
- C. Combined sales forecasts
- D. Profit planning or Pro forma financial statement

Answers: D

192. Central, state and local governments handle large sums of money, which are received from many sources and must be utilized in accordance with detailed policies and procedures implies ----

- A. **Public Finance Central,**
- B. International Finance
- C. Institutional Finance
- D. Financial Management

Answers: A

193. Of the following is not be external sources of funds drawn from outsiders.

- A. Share Capital and Common stock
- B. Preference stock, Change par bonds and Public deposits
- C. Borrowings, Trade credits and Foreign capital
- D. **Retained earnings Provisions and**

Answers: D

194. Decisions whether the firm should use equity or debt funds in order to finance its assets indicates ---

- A. **Financing decisions**
- B. Dividend decisions

- C. Investment decisions
- D. Profit maximization

Answers: A

195. Of the following is not be Limitations of Profit Maximization?

- A. Ambiguity and Cash flows
- B. Timing of Benefits
- C. Quality of Benefits (Risk of Benefits)
- D. When managers of a corporation are separate from owners, there is a potential for a conflict of interest between them.

Answers: D

196. Of the following is Money Markets

- A. Treasury bills, commercial paper and negotiable certificates of deposit.
- B. Bonds, preferred and common stocks.
- C. long-term funds are traded
- D. Over-the-counter (OTC)

Answers: A

197. The leverage associated with investment or acquisition of assets is referred to as---

- A. Operating leverage
- B. Financing leverage
- C. Degree of Operating Leverage (DOL)
- D. Long term debt and preference share

Answers: A

198. If we place \$1,000 in a savings account paying 5 percent interest compounded annually, how much will our account accrue in 10 years? Substituting $PV = \$1,000$, $i = 5$ percent, and $n = 10$ years According to $FV_n = PV(1 + i)^n$ or the future value of the investment at the end of n years indicates -----

- A. \$1,628.89
- B. \$1,6288
- C. \$1,6666
- D. \$1,6288

Answers: A

199. If we place \$100 in a savings account that yields 12 percent compounded quarterly, what will our investment grow to at the end of five years according to this equation?

$$FV_n = PV \left(1 + \frac{i}{m} \right)^{nm} ?$$

- A. \$180.60
- B. \$18060

- C. \$18066
- D. \$180880

Answers: A

200. Is a common stock whose future dividends are not expected to grow at all.

- A. Zero growth common stock,
- B. Constant growth common stock,
- C. Variable growth common stock.
- D. Constant government common stock,

Answers: A